AI IN GOVERNMENT AND PUBLIC SERVICES - VOLUME 6

The Procurement and Supplier AI Playbook

Buy fairly, contract for evidence, govern for the whole life - with AI that drafts, compares and warns, and officers who specify, evaluate and award.



Gates R0-R5 | 8 Templates | 20 Golden Rules

The worked example continues: **Northbridge City and County**, a fictional composite government of 480,000 residents spending an illustrative 620 million a year with some 4,800 suppliers - social care, construction, waste, professional services and now AI systems themselves. Every figure attached to Northbridge is illustrative. Adapt thresholds to your own procurement law, budget and risk appetite.

Executive / Service / Accountability lenses on every major section, so a finance director, a supplier and an auditor can read the same page and each find their decision.

START HERE

Procurement is where public values become contracts

Every service in this series runs on something the state bought: a case system, a care contract, a road, an AI model. Procurement decides - years in advance, on paper - whether that service can be fair, explainable and affordable, or whether its failures were locked in at signature. A model you cannot audit, exit or challenge was not a delivery failure. It was a buying failure.

How to use this playbook

- **Procurement and commercial leads** read pages 4-23 and run every competition against the gates on page 29.
- **Executives** read pages 6, 26-27 and 29, and hold the stop list on page 7 personally.
- **Service owners buying AI** read pages 11, 15-17 and 22-23 first; their clauses live there.
- **Auditors and oversight** start at pages 25, 28 and 29-32: transparency, failure, gates, templates and rules.

The one test that matters

Every design choice answers one question: **could we defend this award, this price and this supplier - in public, line by line, three years from now?** If the record cannot carry that defence, the competition is not ready, however urgent the need feels today.

AI drafts, compares and warns. Officers specify, evaluate and award. **The award, the exclusion and the contract are always human-owned.**

EXECUTIVE LENS

Own value for money and market health together; a cheap award that kills the market is expensive.

SERVICE LENS

A supplier is served by a clear specification, a fair chance and a prompt, honest debrief.

ACCOUNTABILITY LENS

Every score, conflict and decision is recorded at the time it happens, not reconstructed at challenge.

THE SERIES

Where this volume sits

Vol	Title	Owns
1	Strategy	Mandate, portfolio, risk tiers, gates S0-S5
2	Citizen Services and Digital Front Doors	Find, understand, apply, track, contact
3	Benefits, Licensing and Casework	Eligibility support, evidence, caseworker tools
4	Permitting, Planning and Land Use	Applications, completeness, inspections
5	Tax, Revenue and Compliance	Filing support, queries, payment, debt
6	Procurement and Supplier AI	Buying, contracts, supplier governance (this volume)
7	Emergency Services and Public Safety	Dispatch support, triage, public alerts
8	Data, Records and Interoperability	Registers, records, sharing, retention
9	Workforce, Ethics and Public Trust	Roles, skills, ethics review, public reporting
10	Government Capstone and Assurance	Whole-portfolio assurance and the licence to scale

Contents of this volume

Procurement failure starts before the tender	4
The procurement lifecycle, end to end	5
Where AI pays in procurement	6
The stop list: decisions AI never makes	7
Ten design principles	8
Demand, need and specification	9
Market engagement without favour	10
Buying AI itself: the special case	11
Competition design and routes to market	12
Tender documents and bid burden	13
Evaluation without automation bias	14
Due diligence: model, data and supplier evidence	15
Contracting for AI: clauses that matter	16
Pricing, whole-life cost and value	17
Award, standstill, debrief and challenge	18
Onboarding, integration and go-live	19
Contract management and performance	20
Subcontractors, supply chains and resilience	21
Change, model updates and version control	22
Exit, portability and continuity	23
The procurement officer desk, workforce and the working day	24
Transparency, conflicts and the public register	25
Measurement: value, fairness and market health	26
Economics: savings counted honestly	27
When procurement AI fails	28
Gates R0-R5 and the 24-month roadmap	29
Templates 1-4	30
Templates 5-8 and the assurance checklist	31
20 Golden Rules	32

DIAGNOSIS

Procurement failure starts before the tender

Failed contracts are usually described at the point they collapse: missed milestones, disputed invoices, a supplier in trouble. Northbridge reviewed its last forty troubled contracts before automating anything, and found the causes sat far earlier - in vague needs, copied specifications, unchallenged incumbent advantage and evaluations that scored the bid document, not the delivery.

What the review counts

- **Demand failure:** buying the wrong thing, or the right thing twice - no owner, no demand challenge, no check against what is already contracted.
- **Specification failure:** requirements written around one supplier's product, or so loosely that every bid prices a different service.
- **Competition failure:** too few credible bidders, burdens that exclude smaller suppliers, and timelines only an incumbent can meet.
- **Management failure:** a sound award left unmanaged - no performance data, no early warning, no relationship until the dispute letter.

> **Northbridge baseline (illustrative):** of 40 troubled contracts, 17 traced to specification or demand, 9 to weak competition, 11 to absent contract management, and only 3 to supplier failure alone. Direct awards and extensions without competition covered 28 percent of spend by value.

Treat the diagnosis as the strategy. AI that speeds up tender paperwork while demand, specification and management stay broken will produce bad contracts faster, with better formatting.

EXECUTIVE LENS

Publish spend under competition and the troubled-contract causes; both point at management, not paperwork.

SERVICE LENS

A supplier cannot fix a specification. Bidder questions are free consultancy - count and learn from them.

ACCOUNTABILITY LENS

Every troubled contract gets a written cause, filed where the next buyer will actually find it.

THE WORK

One need, one lifecycle, no orphan contracts

Need to exit, procurement is a lifecycle measured in years. Name the stages, give each an owner and a clock, and keep one record that a challenger, an auditor or a successor can follow without interviewing the participants.

Stage	What happens	AI may	Officer owns
Need	Demand challenged, outcome and budget defined	Analyse spend, flag duplication and expiring contracts	Confirming the need is real and funded
Specify	Outcomes, standards and evaluation criteria written	Draft from precedents, check for supplier-specific bias	The specification and the criteria - before any bid is seen
Compete	Market engaged, bids invited and received	Assemble documents, answer logistics, track clarifications	Fair access, equal information and the timetable
Evaluate	Bids scored against published criteria	Summarise bids, cross-check claims, flag inconsistencies	Every score, moderation and the award recommendation
Contract	Terms, schedules and exit provisions agreed	Compare redlines to the approved position	Signing - and anything conceded to get there
Manage	Performance, cost and risk governed in delivery	Monitor milestones, spend and signals, draft reviews	Intervention, remedy and payment decisions
Exit	Service transferred, data returned, lessons filed	Build the exit pack and dependency map	Continuity for residents and the final account

The lifecycle rule: a contract is never without an owner, a review date and an exit route - and never moves to award without the evaluation record complete at the moment of decision.

EXECUTIVE LENS

Manage stages and clocks, not inboxes; expiry surprises are a governance failure, not bad luck.

SERVICE LENS

Suppliers deserve the same map: criteria, timetable and debrief, published before bids are written.

ACCOUNTABILITY LENS

Every transition is recorded: who, when, on what evidence. That record is the challenge defence.

THE OPPORTUNITY

AI pays in drafting, comparing and warning

Procurement work splits into drafting documents, comparing offers, watching performance and judging value. The first three are volume work where AI earns its keep. Judging - who wins, who is excluded, what is fair - is the officer's accountable act (page 7).

Use	What it does	Pay-off
Spend and demand analysis	Classifies spend, finds duplication, overlap and expiring contracts	Demand challenged with evidence; savings start before sourcing
Specification drafting	Drafts outcome specifications from approved precedents and standards	Faster drafting; supplier-specific bias flagged for removal
Document assembly	Builds tender packs from governed templates, consistently	Fewer errors and challenges caused by inconsistent documents
Bid summarisation	Extracts each bid's claims, prices and commitments side by side	Evaluators compare substance, not formatting stamina
Claim verification support	Cross-checks certifications, references and figures against sources	Inconsistencies become questions for evaluators, not silent risks
Price benchmarking	Compares prices to contracts, indices and prior competitions	Negotiation and challenge grounded in evidence, not assertion
Contract monitoring	Tracks milestones, KPIs, spend and expiry, warns early	Intervention while remedy is cheap; no surprise expiries
Supplier signal watch	Surfaces financial, delivery and news signals for human review	Problems met as management conversations, not crises

Start where buyers **drown in documents**, not where officers exercise judgement. The saving is real and the risk is containable.

EXECUTIVE LENS

Sequence by document pain and challenge risk: assembly, summarisation and monitoring before anything clever.

SERVICE LENS

Every use above drafts, compares or warns; a person still commits the outcome.

ACCOUNTABILITY LENS

If a summary cannot point to the bid page it rests on, it does not go to an evaluator.

THE BOUNDARY

The stop list: decisions AI never makes in procurement

These lines hold regardless of model quality, savings pressure or vendor claims. They are Volume 1's risk tiers applied at the point where the state spends money and shapes a market.

- **No automated award or rejection.** AI never scores finally, ranks for decision, excludes a bidder or recommends a winner as the decision. Evaluators score; moderation decides; an officer awards.
- **No automated exclusion or debarment.** Eligibility, conflicts and exclusion grounds are legal determinations, made by a person on evidence the supplier can answer.
- **No hidden criteria.** AI never applies a criterion, weight or preference not published to bidders in advance - including ones buried in a prompt or a model.
- **No bid leakage.** One supplier's bid, price or solution is never used to coach another, train a shared model, or brief the incumbent.
- **No automated negotiation or commitment.** AI does not negotiate terms, accept redlines or commit funds; every concession is a named human decision.
- **No surveillance sourcing.** Supplier monitoring stays proportionate and disclosed; staff-level surveillance of supplier employees is out of scope entirely.
- **No self-preference.** An AI tool used in procurement is itself procured under competition; its provider gets no advantage in competitions it helps run.

> **The challenge test:** for every stop-list line, ask how the decision would read in a courtroom, a council chamber and a headline. If AI made it, Northbridge has no answer in any of the three.

EXECUTIVE LENS

Hold the stop list personally; savings pressure will test it contract by contract.

SERVICE LENS

Suppliers are entitled to a human decision they can question and, if needed, challenge.

ACCOUNTABILITY LENS

The stop list is published to bidders. A boundary suppliers can read is a boundary officers can defend.

PRINCIPLES

Ten design principles for buying well

1. **Outcomes before products.** Specify the result residents should feel; let suppliers propose how. A specification that names a product has already held the competition - unfairly.
2. **Competition is the control.** Every safeguard in this volume supports genuine rivalry on a level field; where competition is impossible, say so, record why and compensate with scrutiny.
3. **Criteria before bids.** Evaluation criteria, weights and scorers are fixed and published before bids are opened, and never tuned to a result.
4. **Equal information, always.** Every clarification, answer and document goes to every bidder at the same time, in the same words.
5. **Evidence over assertion.** Claims in bids - capability, savings, AI performance - are tested against references, demonstrations and data, proportionate to risk.
6. **Whole-life value.** Price means implementation, licences, change, exit and the cost of failure - not the day-one number that wins the spreadsheet.
7. **Proportionality.** Burden follows value and risk: a small supplier bidding for a small contract faces small-contract paperwork.
8. **Exit from day one.** Data, documentation and transition help are contracted at award, when leverage exists - not negotiated at departure, when it does not.
9. **Record as you go.** Decisions, conflicts, scores and concessions are written at the time. A record reconstructed later is advocacy, not evidence.
10. **The market is an asset.** How Northbridge buys shapes who can sell to government in five years. Prompt payment, sane burden and honest debriefs are market policy.



An open market: diverse suppliers, published opportunities and officers who answer questions - competition as a public asset.

EXECUTIVE LENS

Refuse processes that breach a principle and promise to fix it after award; after award is where leverage goes to die.

SERVICE LENS

A supplier is served when the principles are predictable - the same rules, visibly applied, every time.

ACCOUNTABILITY LENS

Principles are audit standards: each one names evidence an auditor can ask for by name.

BEFORE THE MARKET

Demand, need and specification

Most value is won or lost before a tender is published. This page is the discipline: challenge the demand, define the outcome, and write a specification a challenger could call fair and a bidder could call clear.

Challenge the demand first

- **Do we need it?** Spend analysis (page 6) shows what is already bought, under-used or duplicated. The cheapest contract is the one never let.
- **Do we need it like this?** Volumes, service levels and gold-plating are decisions, each with a price. Name the resident outcome each requirement protects.
- **Do we need it now, for this long?** Contract length locks in technology and price; for fast-moving AI services, shorter terms with tested exit beat long terms with hopeful break clauses.

Write the specification

- **Outcomes and standards,** not brand names, proprietary formats or one supplier's feature list. Where a standard exists, cite the standard.
- **Must, should, could:** separate the mandatory from the desirable, and say how each is evaluated - or bidders will price the desirable as mandatory and the taxpayer pays for both.
- **Bias check:** AI drafting support flags phrases that mirror a single product, unexplained incumbent knowledge and requirements only one supplier can meet. Each flag is resolved in writing before publication.

> **Northbridge practice (illustrative):** every specification over the competition threshold carries a one-page demand note - outcome, alternatives considered, duplication check and length justification - signed by the service owner, not by procurement alone.

EXECUTIVE LENS

Demand challenge is a finance decision: publish the savings from needs not bought.

SERVICE LENS

Clear specifications are supplier service: ambiguity is priced, and the taxpayer pays the premium.

ACCOUNTABILITY LENS

The demand note is the first page of the audit file; write it like it will be read in a challenge - it may be.

BEFORE THE MARKET

Market engagement without favour

Talking to the market before a competition is how specifications get realistic - and how competitions get quietly rigged. Both outcomes come from the same meetings. The difference is discipline.

Engage openly

- **Announce engagement publicly:** a notice that Northbridge is exploring a need, open to any supplier, with dates and questions published in advance.
- **Ask the market real questions:** what outcomes are achievable, what the specification misunderstands, what contract length and lot structure would attract credible bids - including from smaller suppliers.
- **Publish what was heard:** a summary of engagement findings goes to all future bidders with the tender. Knowledge given to one and withheld from others is favour, whatever the intention.
- **No promises, no previews:** engagement is not a pre-competition. No supplier sees draft criteria early, hears another's ideas, or leaves believing the award is theirs to lose.

Structure for a healthy field

- **Lots:** divide where it widens the field - by geography, specialism or scale - and say why where it does not.
- **Consortia and subcontracting:** welcome them explicitly, with clear liability and payment terms down the chain (page 21).
- **Social value and local impact:** where policy requires them, state criteria and weights in advance and evaluate evidence, not adjectives (pages 14, 26).

EXECUTIVE LENS

Engagement that produces no specification change was theatre; log what changed and why.

SERVICE LENS

Small suppliers judge fairness here first: was the door visibly open before the tender existed?

ACCOUNTABILITY LENS

Keep the engagement record - attendance, questions, summaries - in the competition file from day one.

THE SPECIAL CASE

Buying AI itself: what makes this purchase different

Every earlier volume assumed AI systems worth governing. This is where they are bought. AI procurement carries risks ordinary software buying never meets, and ordinary clauses never cover.

Difference	Why it matters	Buying response
Performance is probabilistic	Accuracy varies by population, language and case type	Test on your own cases, segmented, before award (p15); contract the floor, not the demo
The product changes itself	Models update, drift and retire under you	Version notice, regression testing and rollback rights in contract (p22)
Training data is the product	Provenance, rights and bias sit inside the model	Data provenance evidence and audit rights as award conditions
Your data may train their model	Prompts and records can leak into other customers' systems	No-training clauses, residency and deletion verified, not asserted (p16)
Exit is technical, not just legal	Prompts, configurations and evaluations are the working asset	Portability of data, prompts, logs and evaluation sets contracted at award (p23)
Sub-processors multiply	Models, hosting and tools chain behind one brand	Full sub-processor disclosure, change notice and flow-down terms (p21)

The standing rule: an AI system is bought like a service with a changing workforce, not like a photocopier. Contract for evidence, change control and departure, because all three are certain to be tested.

EXECUTIVE LENS

Never let urgency convert an AI purchase into a pilot that quietly becomes production; pilots have end dates and decision gates.

SERVICE LENS

Suppliers who welcome testing, disclosure and exit terms are telling you something; so are those who resist all three.

ACCOUNTABILITY LENS

File the AI-specific evidence with the award record - it is what oversight will ask for first.

Competition design and routes to market

Route choice is a fairness and value decision, not an administrative default. Match the route to the market, the risk and the clock - and record why, especially when the route narrows the field.

Route	Use when	Watch for
Open competition	The market is broad and the need is definable	Bid burden deterring the field; keep documents proportionate (p13)
Restricted / shortlist	Capability varies widely and evaluation capacity is scarce	Shortlisting criteria becoming a hidden award decision
Framework / catalogue	Needs recur and suppliers are pre-assessed	Frameworks ageing into closed shops; mini-competitions still need criteria and records
Dynamic purchasing	New suppliers should be able to join over time	Onboarding checks quietly becoming barriers; keep them published and light
Innovation partnership / pilot	The solution does not yet exist in the market	Pilots drifting into production without competition (p11)
Direct award (exception)	Genuine urgency or sole capability, evidenced	The exception becoming the habit; publish the justification and the end date

Design the timetable like a fairness instrument

- Bid windows sized to the document burden, with holidays and smaller suppliers' capacity counted honestly.
- Clarification deadline before the bid deadline, with answers published to all - late questions still answered where fairness allows.
- Evaluation capacity booked before publication: a competition the panel cannot score in time will be scored in haste, and haste is where bias enters.

EXECUTIVE LENS

Route statistics are published: share of spend competed, average field size, direct-award rate (p26).

SERVICE LENS

A route is fair when a good supplier who has never sold to Northbridge can realistically win it.

ACCOUNTABILITY LENS

Every narrowed route carries a written justification, signed before the competition starts.

TO MARKET

Tender documents and bid burden

Tender documents are the competition's user interface. Every unnecessary page taxes small suppliers hardest, rewards professional bid-writing over delivery quality, and returns as higher prices from those who remain.

Build the pack from governed parts

- **One structure, every time:** instructions, specification, criteria and weights, contract terms, pricing schedule, response format - assembled by AI support from approved templates, checked by an officer before issue.
- **Say what good looks like:** for each criterion, what evidence answers it and what a strong, adequate and weak response contains. Bidders should not have to guess the marking scheme's mind.
- **Ask once:** standard certifications, insurances and policies are collected once, held centrally and reused - not re-demanded in every competition.
- **Word limits with a purpose:** page limits per question, set to the evidence the criterion needs. Limits discipline bidders and evaluators alike.

> **The burden test:** before publication, a reviewer who did not write the pack estimates the hours a competent small supplier needs to bid well. If the hours exceed what the contract value justifies, cut the pack - not the standard.

EXECUTIVE LENS

Document errors cause challenges and re-runs; assembly discipline is savings, not bureaucracy.

SERVICE LENS

Suppliers experience the pack as Northbridge's competence. A confused pack forecasts a confused client.

ACCOUNTABILITY LENS

Template versions are controlled; the issued pack is archived exactly as bidders received it.

DECIDING

Evaluation without automation bias

Evaluation is where fairness becomes arithmetic. AI support can make evaluators faster and better informed; it can also anchor them to a summary, a score suggestion or a polished bid's fluency. Design against all three.

The evaluation discipline

- **Independent scoring first:** each evaluator scores from the bid itself, against the published criteria, before seeing AI summaries, other scores or price. Independence is the evidence moderation later relies on.
- **AI as second reader:** after independent scoring, AI cross-checks claims against sources, flags internal inconsistencies and finds commitments evaluators may have missed. Flags are questions, never score changes.
- **Moderation on reasons:** scores move in moderation only for recorded reasons tied to bid evidence - never to reach a preferred winner or a tidy spread.
- **Price scored as published:** the price formula runs exactly as tendered, on whole-life cost (page 17). Abnormally low bids are clarified with the bidder, not silently scored or silently excluded.

Guard the known failure modes

- **Fluency bias:** well-written is not well-delivered. Score evidence - references, demonstrations, tested performance - above prose.
- **Incumbent bias:** knowledge of the current service is scored only where the criteria, published in advance, say it counts.
- **Anchor bias:** no AI-generated indicative score is shown to evaluators before their own scoring. Ever.

EXECUTIVE LENS

A defensible evaluation is slower than a fast one and cheaper than a challenged one; budget for defensible.

SERVICE LENS

Every bidder is entitled to scores that were actually given by people who read their bid.

ACCOUNTABILITY LENS

The evaluation record - scores, reasons, moderation changes - is complete before award is announced.

DECIDING

Due diligence: model, data and supplier evidence

Due diligence tests whether the winning bid can become a working service. For AI systems it extends beyond finance and references into the model, its data and its failure behaviour - proportionate to the risk tier from Volume 1.

Check	Evidence required	Fail looks like
Financial standing	Accounts, insurance, parent guarantees where relevant	Thin capitalisation against a critical service, unanswered
Delivery capability	References visited, not just listed; staffing and subcontractor reality	Reference sites describing a different service than the bid promised
Model performance	Testing on Northbridge cases, segmented by language, place and case type	Vendor demo figures only; refusal to test on your population
Data provenance	Training and fine-tuning sources, rights and retention stated	Provenance described in adjectives; sub-processors unnamed
Security and privacy	Certifications, penetration results, residency and access controls	Audit rights refused; incident history undisclosed
Ethics and workforce	Conflicts, modern-slavery and payment practices down the chain	Policies without practice; late payment to subcontractors normalised

Due diligence findings are scored or gated exactly as the tender said they would be - a check invented after bids arrive is a hidden criterion (page 7), however worthy it feels.

EXECUTIVE LENS

Proportionate does not mean optional: critical services get critical scrutiny, whoever bids.

SERVICE LENS

Suppliers should know the checks in advance and be able to prepare evidence once, for reuse.

ACCOUNTABILITY LENS

Every check leaves a result in the file - pass, condition or fail, with the evidence named.

CONTRACTING

Contracting for AI: clauses that matter

Standard terms assume a stable product and a knowable service. AI contracts must govern change, evidence and departure explicitly. These clauses are Northbridge's starting position, adapted by legal advice to each purchase.

- **Performance floors:** measured accuracy and service levels on defined case sets, segmented where residents differ, with remedies and retest rights - not a single headline figure.
- **Change control for models:** advance notice of model or sub-processor changes, regression evidence, a test window and rollback or exit rights if performance falls (page 22).
- **Data terms:** Northbridge data trains Northbridge's service only; residency, retention, deletion on exit and breach notice are specified and auditable.
- **Audit and transparency:** access to logs, evaluation results and relevant documentation; cooperation with auditors, regulators and freedom-of-information duties written in, not negotiated in a crisis.
- **Human oversight preserved:** the supplier does not configure the system to make decisions the stop list reserves to officers (page 7), and configuration changes are recorded.
- **Intellectual property and prompts:** ownership and licence for configurations, prompts, evaluation sets and outputs are explicit - they are working assets at exit (page 23).
- **Liability and insurance:** matched to the harm the service can do, not to the supplier's standard cap; carve-outs for data and confidentiality breaches considered explicitly.

> **Negotiation rule:** a clause refused in negotiation is a risk accepted in delivery. Record refusals in the award file, priced and owned - never let them vanish into the signature.

EXECUTIVE LENS

Clauses are cheapest at award and unavailable later; spend negotiation time where the risk lives.

SERVICE LENS

Suppliers with sound products sign sound clauses; resistance is due-diligence evidence.

ACCOUNTABILITY LENS

Legal, service and procurement sign the risk record together - no silent acceptances.

CONTRACTING

Pricing, whole-life cost and value

The cheapest bid is a claim; whole-life cost is the test. Price evaluation compares what Northbridge will actually pay, across the term, including the costs suppliers prefer to leave outside the pricing schedule.

Cost element	Include	Common omission
Implementation	Migration, integration, configuration, training	Internal staff time and parallel running
Run	Licences by real usage driver, support tiers, hosting	Usage growth repricing the contract by year two
Change	Rate card, change caps, model-update and retest costs	Every improvement priced as new work
Assurance	Audit support, evaluation sets, reporting duties	Compliance evidence charged as consultancy
Exit	Data extraction, transition assistance, documentation	Exit priced at departure, under duress (p23)
Failure	Service credits, step-in and re-procurement exposure	Credits capped below the cost of the harm

- **Benchmark before you negotiate:** AI-supported price comparison across contracts and indices (page 6) sets the walk-away position before the meeting, not during it.
- **Open-book where the market is thin:** cost-plus and framework call-offs carry transparency duties proportionate to the absence of competition.
- **Payment as policy:** prompt payment terms, published performance against them, and flow-down to subcontractors (page 21). Late payment is a cost transferred to the weakest firm in the chain.

EXECUTIVE LENS

Value for money is a whole-life, whole-service judgement; the day-one price is one input.

SERVICE LENS

Transparent pricing schedules are supplier service: hidden repricing helps no honest bidder.

ACCOUNTABILITY LENS

The priced exit and the priced failure belong in the award report, beside the headline saving.

DECIDING

Award, standstill, debrief and challenge

Award is a public act. The decision, the reasons and the record are published and defended in a fixed sequence that protects the winner, the losers and the taxpayer equally.

The sequence

- **Award decision:** taken by the named officer on the complete evaluation record (page 14), with conflicts re-declared and the demand note, criteria and moderation reasons in the file.
- **Notification with reasons:** every bidder receives its scores against the criteria, the winner's relative advantages stated honestly, and the standstill timetable.
- **Standstill:** the pause between notification and signature is honoured in full. Pressure to sign early is treated as a risk signal, not a scheduling detail.
- **Debrief:** offered to every bidder, specific enough to improve the next bid: where evidence was thin, where price lost, what would have scored. Vague debriefs teach the market that effort is pointless.
- **Challenge:** handled on the record, by officers outside the evaluation, with legal advice early. A challenge upheld is a procurement lesson published internally, not an embarrassment buried.

Debrief like you will **compete for this supplier's bid again** - because the market remembers, and next time Northbridge may need them more.

EXECUTIVE LENS

Standstill discipline protects the award itself; a rushed signature can void a sound competition.

SERVICE LENS

Losing bidders are the future field. Their experience of losing fairly is market investment.

ACCOUNTABILITY LENS

Award notices, scores and justifications are filed for publication on the register (p25) at decision time.

DELIVERY

Onboarding, integration and go-live

Between signature and service sits the riskiest quarter of the contract's life: data moves, staff transfer, integrations are built and the old service is still running. Plan it as a service launch, not an administrative handover.

- **Mobilisation plan with teeth:** named leads on both sides, milestones with evidence, and the contract's first performance review dated before anyone celebrates the award.
- **Data and access, least privilege first:** data transfers inventoried and minimised; supplier access granted by role, logged and time-boxed - including for AI training or tuning, which needs explicit approval (page 16).
- **Baseline before change:** current performance, cost and resident experience measured before the new service starts, so improvement claims later have something honest to stand on.
- **Go-live gate:** for AI systems, the Volume 1 readiness evidence - testing on real cases, oversight arrangements, failure routes - is re-checked in the production configuration, not inherited from the bid.
- **Communicate to residents:** if the service residents see will change - a new portal, letterhead, phone route or assistant - tell them before it changes, in the channels they actually use (Volume 2).

EXECUTIVE LENS

Mobilisation slippage is the first performance data point; record it like one.

SERVICE LENS

Suppliers should meet the residents' reality early - real cases, real volumes, real exceptions.

ACCOUNTABILITY LENS

Every access and transfer is logged; the go-live file becomes the contract-management baseline.

DELIVERY

Contract management and performance

Value is delivered or lost in management, not at award. Northbridge manages contracts in tiers: the critical few get named commercial managers and monthly evidence; the long tail gets automated watch and exception review.



Behind the desk: milestones, spend and supplier signals visible in time to act, not to explain.

- **Performance framework that measures outcomes:** resident-facing results first - waits, accuracy, resolution - with process measures beneath them. A supplier hitting every process target while residents queue has not performed.
- **AI-supported watch:** milestone, spend and signal monitoring (page 6) drafts the review pack and flags drift early. The commercial manager's job is the conversation the data starts, not the dashboard it produces.
- **Review rhythm:** operational reviews monthly, commercial reviews quarterly, strategic reviews annually - each with actions, owners and dates carried forward visibly.
- **Remedies as a ladder:** improvement notice, service credits, step-in, termination - used in order, on evidence, with cure periods honoured. A remedy never used is a clause never believed.

EXECUTIVE LENS

Fund contract management as a percentage of contract value; unmanaged value evaporates quietly.

SERVICE LENS

Good suppliers want competent clients. Review quality is part of Northbridge's market reputation.

ACCOUNTABILITY LENS

Performance data feeds the register and the next competition's due diligence (p15, p25).

DELIVERY

Subcontractors, supply chains and resilience

Northbridge contracts with a prime; residents are served by a chain. The chain's weakest firm, least visible tier and most concentrated dependency decide the service's real resilience.

- **Know the chain:** material subcontractors and, for AI, sub-processors are disclosed at bid, mapped in the contract file and updated on change - with Northbridge approval for critical tiers (page 11).
- **Flow the terms down:** data, security, prompt payment and audit duties pass down the chain in substance, not just in a clause the prime signs and ignores.
- **Pay the chain:** prime payment performance to subcontractors is monitored and published in reviews. A prime paid promptly that pays late is spending Northbridge's reputation.
- **Test concentration:** one subcontractor behind many primes, one model behind many services, one region behind one platform - map single points of failure across the portfolio, not contract by contract.
- **Continuity duties:** critical suppliers maintain exit and continuity documentation as a living deliverable, refreshed at each review, so step-in or transfer is a procedure and not an archaeology dig (page 23).

EXECUTIVE LENS

Portfolio-level dependency mapping is an executive product; no single contract manager can see it alone.

SERVICE LENS

Small firms in the chain deserve the same prompt payment and honest dealing as primes.

ACCOUNTABILITY LENS

The chain map is a controlled record: complete for auditors, handled carefully for security.

DELIVERY

Change, model updates and version control

Contracts assume stability; AI services guarantee change. Models are retrained, features retire, prices re-index and the service Northbridge tested quietly becomes a different one. Change control is therefore not administration - it is the contract's immune system.

Classify every change

Class	Examples	Control
Supplier-notified	Model version update, sub-processor change, feature retirement	Notice period, regression evidence, test window, rollback or exit right (p16)
Northbridge-requested	New case type, volume change, integration change	Impact on price, performance floors and evaluation evidence assessed before approval
Regulatory	Law, guidance or security standard changes	Change-in-law clause applies; compliance plan and cost basis recorded
Emergency	Security patch, critical defect fix	Fast-track approval by named officer, retrospective evidence within days, not months

- **Regression before production:** supplier model changes run against Northbridge's held evaluation set; a material fall blocks release or triggers remedies - the set itself is a contracted asset (page 23).
- **Version the service:** the contract file records which model and configuration served residents on which dates. Without that line, incident investigation and appeal evidence (Volumes 3-5) cannot be reconstructed.
- **Price the change honestly:** rate cards and caps agreed at award govern; a change priced as a new negotiation is a small direct award and is recorded as one.

EXECUTIVE LENS

Uncontrolled change converts a competed contract into an uncompeted one, one update at a time.

SERVICE LENS

Suppliers get a fast, predictable change route in exchange for evidence - speed is the payment for transparency.

ACCOUNTABILITY LENS

Every version change is logged with dates and evidence; the log is disclosable audit material.

DELIVERY

Exit, portability and continuity

Every contract ends: by expiry, failure, strategy or a better offer. Exit quality is decided at award (page 8) and tested throughout the term, because a supplier who cannot be left cannot truly be managed.

- **The exit pack, maintained live:** data inventory and formats, configurations, prompts and evaluation sets, documentation, dependency map and the transfer runbook - refreshed at each annual review, not assembled at departure.
- **Data return, verified:** return in open, documented formats within the contracted window, followed by certified deletion. Sample the returned data; a transfer that cannot be loaded is a transfer that did not happen.
- **Transition assistance:** parallel running, knowledge transfer and reasonable cooperation with the successor are contracted duties with prices agreed at award (page 17).
- **Continuity for residents:** the exit plan names the resident-facing risks - appointments, payments, cases in flight - and the point at which no resident can tell the supplier changed.
- **Lessons filed:** a short, honest exit review - what the competition got right, what the contract missed, what management missed - goes to the library the next specification writer will use (page 9).

Test exit like you test failure: **an annual paper exercise, a sampled data return, a runbook read by a stranger.** Untested exit is a hope, not a clause.

EXECUTIVE LENS

Exit readiness is reported beside performance; a high-performing hostage is still a hostage.

SERVICE LENS

Suppliers who exit well win references; make good departure part of the market's reward structure.

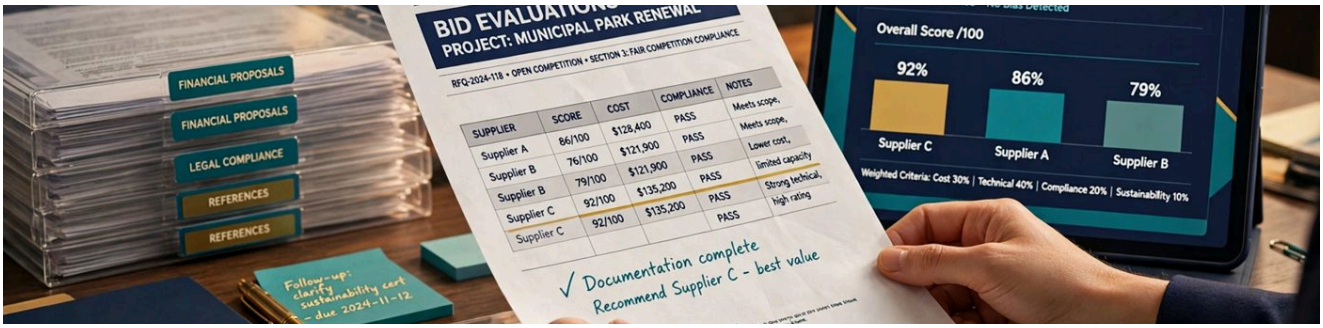
ACCOUNTABILITY LENS

Deletion certificates and returned-data samples are filed - exit evidence outlives the relationship.

THE PEOPLE

The procurement officer desk, workforce and the working day

Procurement judgement is a profession: commercial skill, legal literacy and market knowledge, exercised under scrutiny. AI support should return officers' time to judgement - and the workforce plan should treat that judgement as the asset it is.



The procurement desk: bids, benchmarks and the record - preparation done, judgement still to come.

- **The desk:** one view per competition and contract - documents, timeline, bids, benchmarks, signals and the record - prepared by AI support, decided by the officer.
- **Skills that now matter more:** specification writing, evaluation design, negotiation, data literacy and AI evidence appraisal. Bid-processing speed matters less every year.
- **Rotation and conflicts:** officers rotate across categories on a planned cycle; declarations of interest are refreshed per competition, not per career (page 25).
- **Capacity honesty:** competitions per officer and contracts per manager are capped by tier. Overloaded commercial staff is how stop-list lines get crossed quietly.

EXECUTIVE LENS

Invest in commercial capability before procurement technology; tools amplify the judgement that exists.

SERVICE LENS

Officers are served by preparation that cites its sources - every summary traceable to a bid page.

ACCOUNTABILITY LENS

Desk design is co-designed with officers; their veto on workflow changes is real.

TRUST

Transparency, conflicts and the public register

Public money buys in public. Transparency in procurement is not a publication chore after award; it is the mechanism that keeps every earlier page of this volume honest.

- **Publish by default:** opportunities, award notices, contract values, extensions and direct-award justifications appear on the public register on a fixed timetable - including the unflattering entries.
- **Conflicts, declared and managed:** interests are declared per competition by evaluators, advisers and decision-makers; a declared conflict is managed on the record, an undeclared one discovered later is a disciplinary matter.
- **Gifts and hospitality:** a simple rule, visibly kept: nothing from bidders during a live competition, and a register that oversight can inspect without asking twice.
- **Commercial confidentiality, bounded:** genuinely sensitive pricing and trade secrets are protected in narrow, time-limited redactions - with the redaction itself justified. Confidentiality is a scalpel, not a curtain.
- **Respond to scrutiny as a service:** freedom-of-information requests, audit queries and press questions about awards are answered from the record, promptly and without reconstruction (page 5).

> **Northbridge register (illustrative):** 96 percent of awards published within ten working days, direct awards carrying a named justification in every case, and an annual transparency report covering field sizes, challenge outcomes and payment performance.

EXECUTIVE LENS

Transparency is cheapest when the record was kept as you went; it is ruinous when reconstructed.

SERVICE LENS

Suppliers trust a register that also publishes Northbridge's own payment performance.

ACCOUNTABILITY LENS

Redaction decisions are logged with reasons and expiry - secrecy with a sunset, by design.

PROOF

Measurement: value, fairness and market health

Procurement that measures only savings will eventually buy cheap, failing services from a thinning market and report success throughout. Northbridge measures four families, published together.

Family	Measures	Warning sign
Value	Whole-life cost vs benchmark, savings verified after delivery (p27), contract performance outcomes	Savings claimed at award that delivery never confirms
Fairness	Field size, bidder diversity, challenge rate and outcomes, debrief quality	Falling fields, repeat winners, challenges upheld on process
Market health	Small-supplier share, new-entrant wins, prompt payment down the chain, supplier concentration	One supplier's failure becoming a public-service crisis
Integrity	Direct-award rate, extension rate, register timeliness, conflict declarations complete	Exceptions drifting upward quarter by quarter, unexplained

- **Measure the AI too:** summarisation accuracy against bids, flag precision in claim-checking, and evaluator override rates - a support tool nobody overrides is either perfect or obeyed, and it is not perfect.
- **Resident outcomes close the loop:** contract KPIs trace to the service measures in Volumes 2-5. Procurement performance is, finally, whether residents were served.

EXECUTIVE LENS

Publish the four families together; a single savings number is an incentive, not a report.

SERVICE LENS

A healthy market is a measurable asset - count new entrants like revenue.

ACCOUNTABILITY LENS

Measures that deteriorate trigger a named review, not a footnote in next year's report.

PROOF

Economics: savings counted honestly

Savings are procurement's favourite number and its least audited. Northbridge counts them the way auditors wish everyone did: baselined, whole-life, and net of the cost of buying and managing.

- **Baseline before competition:** the current whole-life cost, independently checked, recorded in the demand note (page 9). No baseline, no saving - only a price.
- **Categories kept separate:** cashable savings (budget actually falls), cost avoidance (a rise prevented, evidenced against an index) and value improvement (better outcomes at the same cost) are reported in separate lines, never blended into one headline.
- **Count the costs of buying:** officer time, legal support, AI tooling, evaluation effort and bidder burden are real costs of the route chosen; efficient routes are an economic decision (page 12).
- **Verify at delivery:** savings are re-checked at months 6 and 18 against actual spend and performance. Savings that evaporate become lessons in the specification library, with names and numbers.

> **Illustrative arithmetic:** a competition reporting 4.2 million saved at award re-verified at 3.1 million at month 18 - 0.6 million lost to volume growth honestly reported, 0.5 million to change requests the specification should have covered. Publishing the second number is what makes the first one believable.

EXECUTIVE LENS

Honest savings arithmetic costs a headline and buys a decade of credibility with finance.

SERVICE LENS

Suppliers price Northbridge's competence; confused buying is a cost line in every bid.

ACCOUNTABILITY LENS

The re-verification duty sits with procurement, not with the service that enjoyed the saving.

FAILURE

When procurement AI fails

Procurement AI fails in ways that look like success for months: a biased specification copied forward, a summary that quietly drops a bidder's commitment, a benchmark built on the incumbent's own prices. Rehearse the failures before the market experiences them.

Failure	How it hides	Drill / control
Biased specification drafting	Supplier-specific phrasing survives review because it reads fluently	Bias-check flags reviewed by a second officer; sample audits of issued specifications
Summary omission	A bid summary drops a cost, condition or commitment evaluators then never score	Spot-check summaries against bids on every competition; omission rate published (p26)
Benchmark capture	Benchmarks built from one supplier's prices ratify that supplier's prices	Multi-source benchmarks with provenance; challenge the data before the negotiation
Leakage between bids	Bid content surfaces in another context or supplier conversation	Access controls, per-competition workspaces, leakage treated as a serious incident
Automation creep	Advisory flags harden into silent scoring; officers stop checking	Override rates monitored; stop-list audit annually and after every tool update (p7)

- **Incident route:** a suspected fairness failure pauses the competition clock, not just the tool. Legal and the awarding officer are informed the same day; bidders are told what fairness requires them to be told.
- **Remedy honesty:** where a failure may have affected an award, Northbridge re-runs the affected stage or the competition - the cost of re-running is the price of a register people trust (page 25).

EXECUTIVE LENS

A paused competition is recoverable; a corrupted award follows the contract for its whole term.

SERVICE LENS

Suppliers report suspected unfairness through a named route, answered by officers outside the competition.

ACCOUNTABILITY LENS

Failure drills run annually with legal, procurement and audit at the same table.

GATES

Gates R0-R5 and the 24-month roadmap

R0 - Need: demand challenged, owner and budget named. Fail: no baseline or demand note.

R1 - Specification: outcomes specified, bias check cleared, criteria drafted. Fail: product named without justification.

R2 - Competition: route justified, engagement published, pack burden-tested, evaluators booked. Fail: criteria not fixed before issue.

R3 - Award: record complete, diligence evidenced, whole-life price and exit agreed. Fail: any stop-list line crossed (p7).

R4 - Delivery: mobilisation baselined, performance live, chain mapped, change control working. Fail: no named manager on a critical contract.

R5 - Exit and Renewal: exit pack current, data return sampled, lessons filed, renewal re-enters at R0. Fail: extension by default.

The 24-month roadmap

- **Months 0-6:** spend analysis and document assembly live; register timeliness enforced; burden test on every pack.
- **Months 7-12:** bid summarisation and contract monitoring in support roles; AI-clause library standard; debrief quality measured.
- **Months 13-24:** dependency map, savings re-verification, annual exit exercises, published market-health measures.

EXECUTIVE LENS

Gates are sequenced trust: a competition that skips R1 will fail expensively at R3.

SERVICE LENS

Bidders see gate results, not machinery: clear documents, fair timetables, honest debriefs.

ACCOUNTABILITY LENS

Gate evidence is the award file; unfiled, it did not happen.

Templates 1-4: fill-in instruments

Template 1 - Demand Note and Baseline

Need and resident outcome: ___ | Service owner: ___ | Current whole-life cost (baseline, checked by): ___ | Duplication / existing contract check: ___ | Alternatives to buying considered: ___ | Proposed term and length justification: ___ | Signed (service owner / finance): ___

Template 2 - Specification Bias Check

Specification title / date: ___ | Product or brand references found: ___ | Requirements only one supplier can meet: ___ | Incumbent knowledge assumed: ___ | Each flag resolved (how / by whom): ___ | Reviewer (not the author): ___

Template 3 - Market Engagement Record

Public notice reference: ___ | Suppliers engaged (all): ___ | Questions asked: ___ | Findings summary published (date / link): ___ | Specification changes made as a result: ___ | Promises or previews given (must be none): ___

Template 4 - Evaluation and Moderation Record

Competition: ___ | Criteria and weights (as published): ___ | Evaluators and conflict declarations: ___ | Independent scores (attached): ___ | AI flags raised and disposition: ___ | Moderation changes with reasons: ___ | Award recommendation and deciding officer: ___

> Templates are completed in the competition file, at the stage they govern - a template filled in after award is a work of fiction with good formatting.

Templates 5-8 and the assurance checklist

Template 5 - AI Supplier Due Diligence Sheet

System and version: ___ | Testing on our cases (sets, segmentation, results): ___ | Data provenance summary: ___ | Sub-processors: ___ | Security evidence: ___ | Conditions imposed before award: ___

Template 6 - AI Contract Clause Checklist

Performance floors: Y/N | Model change notice and rollback: Y/N | No-training and data terms: Y/N | Audit and transparency: Y/N | Prompts / configuration / evaluation-set rights: Y/N | Exit and deletion: Y/N | Refusals recorded and priced: ___

Template 7 - Whole-Life Cost and Savings Sheet

Baseline: ___ | Implementation: ___ | Run (by usage driver): ___ | Change: ___ | Assurance: ___ | Exit: ___ | Failure exposure: ___ | Saving claimed (category: cashable / avoidance / value): ___ | Re-verification dates: ___

Template 8 - Exit Pack and Continuity Checklist

Data inventory and formats: ___ | Configurations, prompts, evaluation sets: ___ | Dependency and chain map: ___ | Runbook tested (date / by whom): ___ | Sample data return loaded: Y/N | Deletion certificate process: ___ | Resident-continuity risks: ___

Assurance checklist - before any award is announced

- Stop list (p7) reviewed and clear; conflicts declared; criteria unchanged since publication.
- Evaluation record complete; due diligence evidenced; whole-life price and exit terms in the file.
- Register entries prepared; debriefs drafted; lessons from the last troubled contract in this category read.

CLOSE

20 Golden Rules of Procurement and Supplier AI

1. Challenge the demand before you draft the tender.
2. Specify outcomes; never hold the competition in the specification.
3. Fix criteria and weights before bids are opened - and publish them.
4. Equal information to every bidder, at the same time, in the same words.
5. AI drafts, compares and warns; officers specify, evaluate and award.
6. Never show an evaluator an indicative score before their own.
7. One supplier's bid never informs another's - in any system, ever.
8. Test AI performance on your own cases, segmented, before award.
9. Contract for change: notice, regression evidence, rollback.
10. Contract for exit at award, while you still have leverage.
11. Price whole life - implementation, change, assurance, exit, failure.
12. Debrief every bidder like the market's memory depends on it. It does.
13. Honour standstill; a rushed signature can void a sound competition.
14. Manage contracts in tiers; fund management as a share of value.
15. Know the chain: subcontractors, sub-processors and single points of failure.
16. Pay promptly, and make primes pay promptly down the chain.
17. Publish awards, extensions and direct-award reasons on time.
18. Count savings honestly: baselined, categorised, re-verified in delivery.
19. Pause the clock, not just the tool, when fairness may have failed.
20. Renewal is a new need: every contract earns its next term at R0.

Next: **Volume 7 - Emergency Services and Public Safety**: dispatch support, triage and public alerts, where procurement's promises meet the minutes that matter.

AI in Government and Public Services - Volume 6: Procurement and Supplier AI. Worked example: Northbridge City and County (fictional; all figures illustrative). Gates R0-R5, eight templates, 20 golden rules.